

Gift Card Policy

Summary

Gift cards may be used only for limited discretionary recognition and must be approved, ordered through an approved method, tracked, and reported for tax and payroll purposes.

Policy

Gift cards may be used only as a limited, discretionary recognition tool for occasional one-time events, individual contributions, team milestones, or employee appreciation initiatives. Gift cards are not wages, guaranteed compensation, recurring bonuses, commissions, reimbursements, or any other form of earned compensation.

Permitted and Prohibited Uses

Permitted Uses. Managers may issue gift cards only as spontaneous, after-the-fact recognition of an employee's contribution. Examples of permitted uses may include spontaneous thank-you recognition, team appreciation, employee appreciation events, milestone acknowledgments, values-based recognition, or other occasional discretionary acknowledgments that are not promised in advance and are not tied to required job duties or predetermined outcomes.

Prohibited Uses. Gift cards may not be offered, promised, or awarded as an incentive for, or based the performance of an employee's assigned job duties, performance evaluation or ratings, attendance or sales goals, key performance indicators, or any other predetermined targets or outcomes.

Gift cards must not be used to replace wages, bonuses, commissions, overtime, shift differentials, expense reimbursements, payroll obligations, procurement obligations, hardship assistance, or any other payment that must be handled through established Company systems.

Approval, Ordering, and Tracking. Gift cards must be ordered only by: (1) bulk purchase, which must have a corresponding entry in the Comp Connect tool; or (2) the **Route2Recognition** tool in Workday.

Tax Reporting, Exceptions, and Violations

Gift cards are taxable income and must be reported through the required payroll process. Any exception requires prior written approval from the District Controller. Improper, unauthorized, or undocumented use may result in corrective action, up to and including revocation of gift card privileges, disciplinary action, or termination of employment.

Questions

Employees and managers should contact their supervisor or Regional Human Resources with questions.